



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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25 June 2004

**Circular to Licensed Corporations
which are licensed solely for Types 4, 5, 6 and/or 9 regulated activities
and subject to the specified licensing condition^{*}**

**Compliance with the
Securities and Futures (Financial Resources) Rules ("the FRR")**

This circular is to remind Licensed Corporations which are licensed solely for one or more of the following:

- (a) Type 4 regulated activity;
- (b) Type 5 regulated activity;
- (c) Type 6 regulated activity;
- (d) Type 9 regulated activity, and

subject to the specified licensing condition to submit financial return as specified by the FRR to the Commission no later than 3 weeks after the end of June and December. The next financial return for the 6 months period ended June 2004 is due for submission to the Commission by **21 July 2004**.

Given that the FRR have already been put into effect for over a year, Licensed Corporations are advised to establish their own mechanism to remind themselves of this submission requirement and ensure timely submission within 21 days.

Common errors and omission in liquid capital computation

When Licensed Corporations are only required to submit financial return on a half-yearly basis, they are required to comply with the FRR at all times. They have the obligation to ensure that the liquid capital computation is correctly compiled from the books and records of the Licensed Corporations and is correctly prepared in accordance with the FRR.

In this connection, we would like to take this opportunity to draw your attention to common errors and omissions we have noted in various returns previously submitted to the Commission.

▪ *Set-off of assets and liabilities*

Assets and liabilities shall be treated separately on a gross basis and shall not be set-off against each other, subject to exceptions. [Section 11 of the FRR]

^{*} specified licensing condition requires that the Licensed Corporation shall not hold client assets



- *Inclusion of other assets in liquid assets*

The FRR only allow prescribed assets (i.e. assets specified in Part 4 Division 3 of the Rules) to be included in liquid assets.

Fees, commissions, commission rebates and interest charges receivable by Licensed Corporation can only qualify as liquid assets if they arise from the carrying on by the Licensed Corporation of any regulated activity for which it is licensed; and can satisfy the ageing requirements in the FRR. [Section 35(a) of the FRR]

Examples of assets that should NOT be included in liquid assets under the FRR are:

- (i) receivables arising from non-regulated activities (such as insurance-related receivables);
- (ii) value of residential or commercial property;
- (iii) receivables from group companies or related parties; and
- (iv) utility deposits.

- *Incorrect treatment of client money not received in the course of carrying on regulated activities*

Licensed Corporations can only include assets beneficially owned by them in liquid assets. Any money held on behalf of clients / client money received which are payable to clients or other counterparties by the Licensed Corporations (e.g. insurance premium received from clients and payable to insurance companies) must NOT be included in liquid assets [Section 20 of the FRR].

On the other hand, the Rules require Licensed Corporations to include all their liabilities such as their obligation to return or pay such money in ranking liabilities, subject to exceptions [Part 4 Division 4 of the FRR].

- *Incorrect application of haircut to listed shares or debt securities held*

Licensed Corporations are to include in liquid assets the market value of securities etc. less applicable haircut amounts held as their house positions. For example if a stockholding is valued at \$100,000 and is subject to a haircut percentage of 20%, then the amount that can be included in liquid assets is $\$100,000 \times 80\% = \$80,000$. [Section 27 of the FRR]



▪ *Omission of financial adjustment for concentrated proprietary position*

An additional deduction has to be made where securities etc. of the same description held by the Licensed Corporation as its house positions exceeds 25% or more of its required liquid capital (typically \$100,000). [Section 44 of the FRR]

If you have any questions on the application of the FRR, you should seek external professional advice.

Notification requirements

Licensed Corporations are required to notify the Commission in writing as soon as practicable under the law if they become aware of their inability to maintain, or to ascertain whether they maintain, the required liquid capital. [Section 146(1) and (3) of the Securities and Futures Ordinance and Section 54 of the FRR]

Further, Licensed Corporations are obliged to notify the Commission in writing within one business day of becoming aware of certain matters, such as a drop of liquid capital below 120% of the required liquid capital, a drop of liquid capital below 50% of the liquid capital stated in the last return submitted to the Commission, etc. [Section 55 of the FRR]

Issue of e-circulars by the Commission

Since the roll-out of FinNet e-Circulars Service on 1 May 2002, all circulars of the Commission have been disseminated to your designated FinNet email account only unless you have previously indicated to us in writing that you wish to receive circulars by fax or post.

Senior management or designated staff of Licensed corporations are advised to frequently attend to and, where appropriate, take necessary action in response to all circulars dispatched by the Commission through the designated channel, whether by FinNet email account or otherwise.

Should you have any queries regarding the use of the FinNet services, please call our hotline (telephone no.: 121-389) or send your enquiry by e-mail (e-circularshelp@hksfc.org.hk) or by fax (fax no.: 2293-5824).

Should you have any questions regarding the content of this circular, please contact Ms Madonna Yip at 2842-7618.